Marketing Strategies

Learning Outcomes

To understand the characteristics of products, and how marketers classify products

To demonstrate how companies use New Product development, packaging, labeling, warranties, and guarantees as marketing tools?

Understanding Consumers ,Markets and Competitors

What is the role of the Company?

- Understand it's customers, markets and competitors
- develop products that deliver superior value to customers.

Why Market failures?

- Overestimation of Market Size
- Product Design Problems
- Product Incorrectly Positioned, Priced or Advertised
- Costs of Product Development
- Competitive Actions

New product failures

- Fragmented markets
- Social, economic, and government constraints
- Development costs
- Capital shortages
- Shorter development time
- Poor launch timing
- Shorter PLCs
- Lack of organizational support

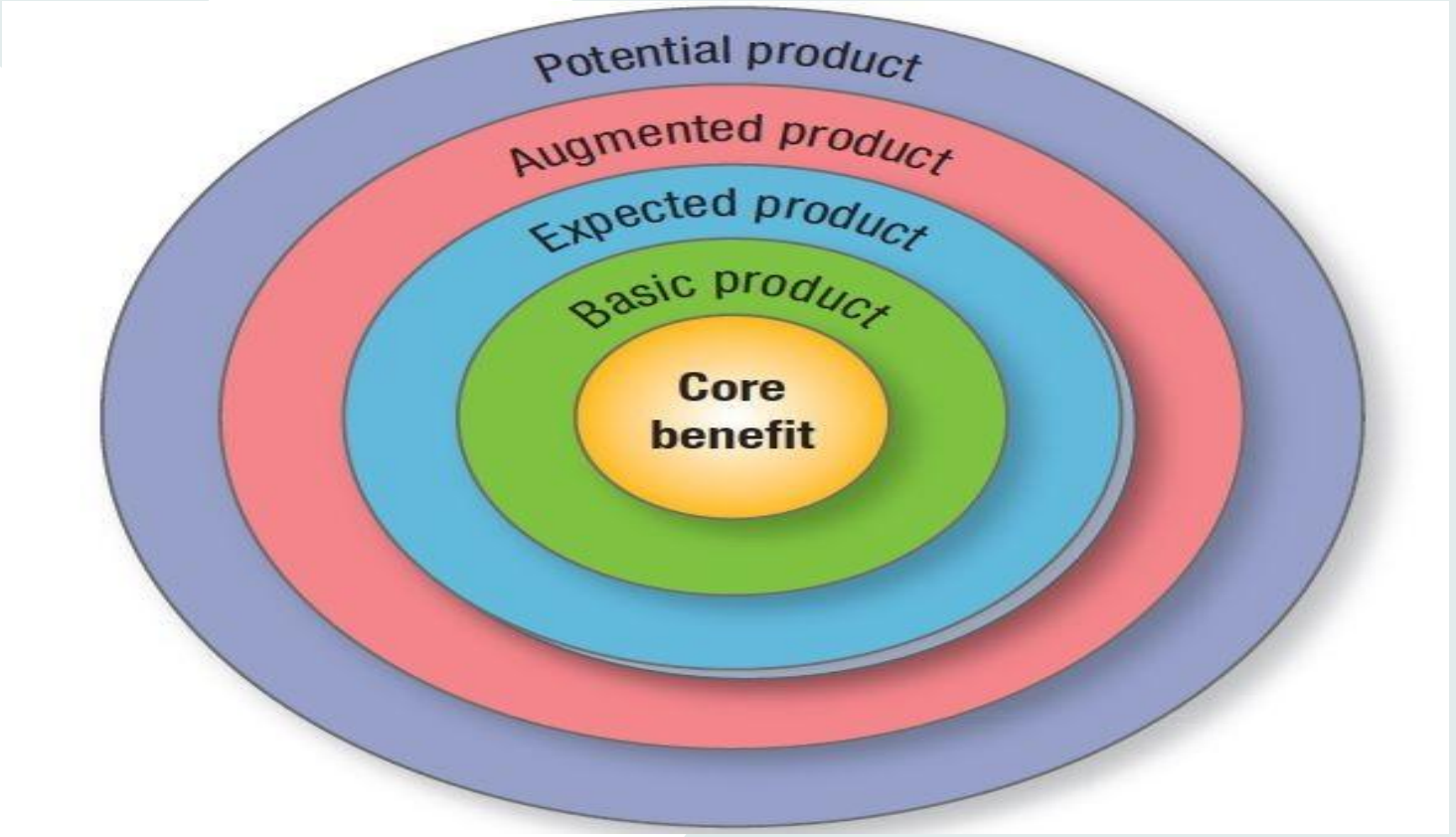
Product

Anything that can be offered to a market to satisfy a want or need, it includes physical goods, services, experiences, events, persons, places, properties, organizations, information, and idea

Components of the Market offering

Source: Kotler,Keller.,Marketing Management, 15e. Pearson Education Ltd.2016

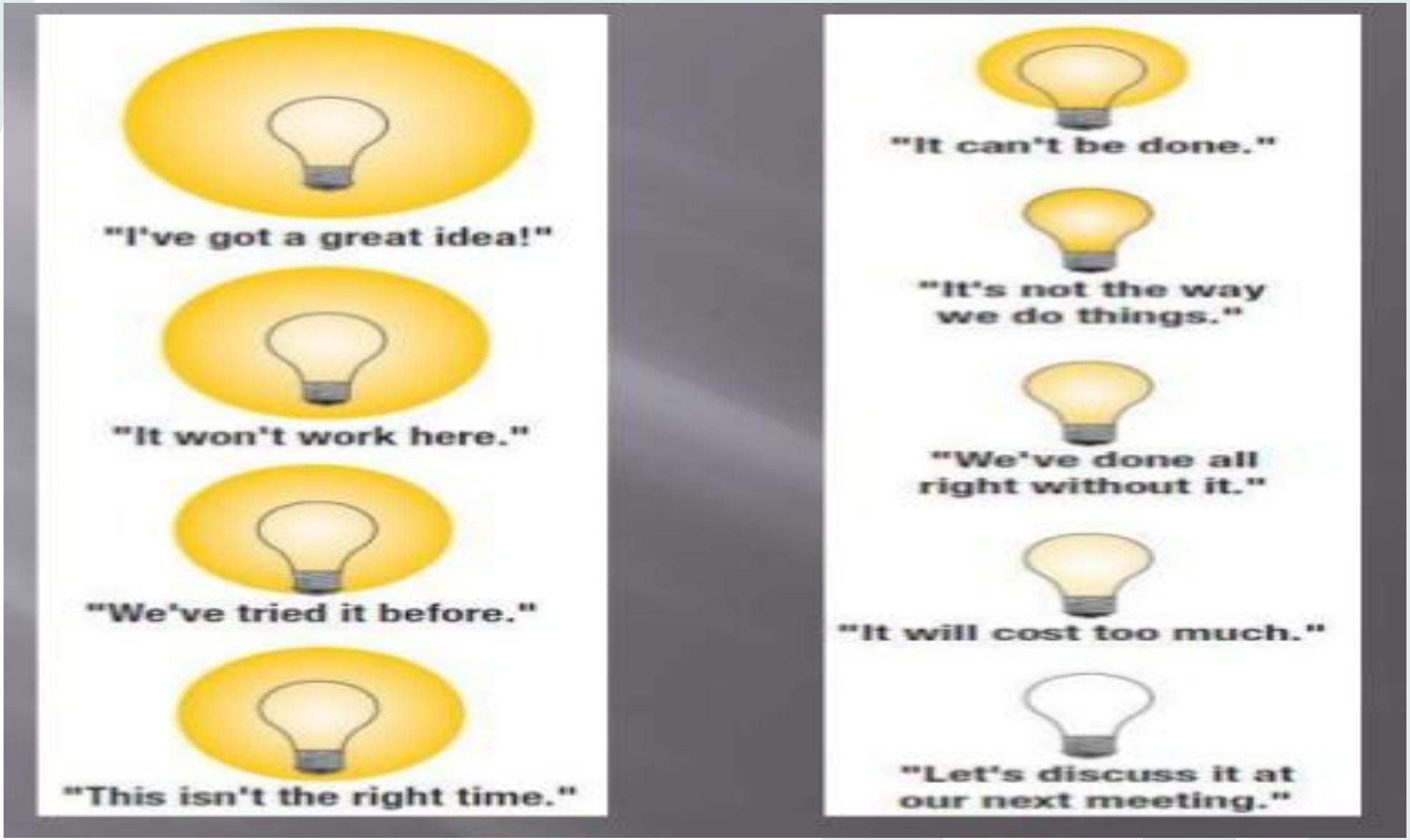
Product Levels: The customer-value hierarchy- Five product levels



Source: Kotler,Keller.,Marketing Management, 15e. Pearson Education Ltd.2016

- The fundamental level is the core benefit: the service or benefit the customer is really buying.
- At the second level, the marketer must turn the core benefit into a basic product.
- At the third level, the marketer prepares an expected product, a set of attributes and conditions buyers normally expect when they purchase this product.
- At the fourth level, the marketer prepares an augmented product that exceeds customer expectations.
- At the fifth level stands the potential product, which encompasses all the possible augmentations and transformations the product or offering might undergo in the future. Here companies search for new ways to satisfy customers and distinguish their offering.

Forces fighting New Ideas



New product options

MAKE OR BUY

Buy other companies

Buy patents from other companies

Buy a license or franchise from another company

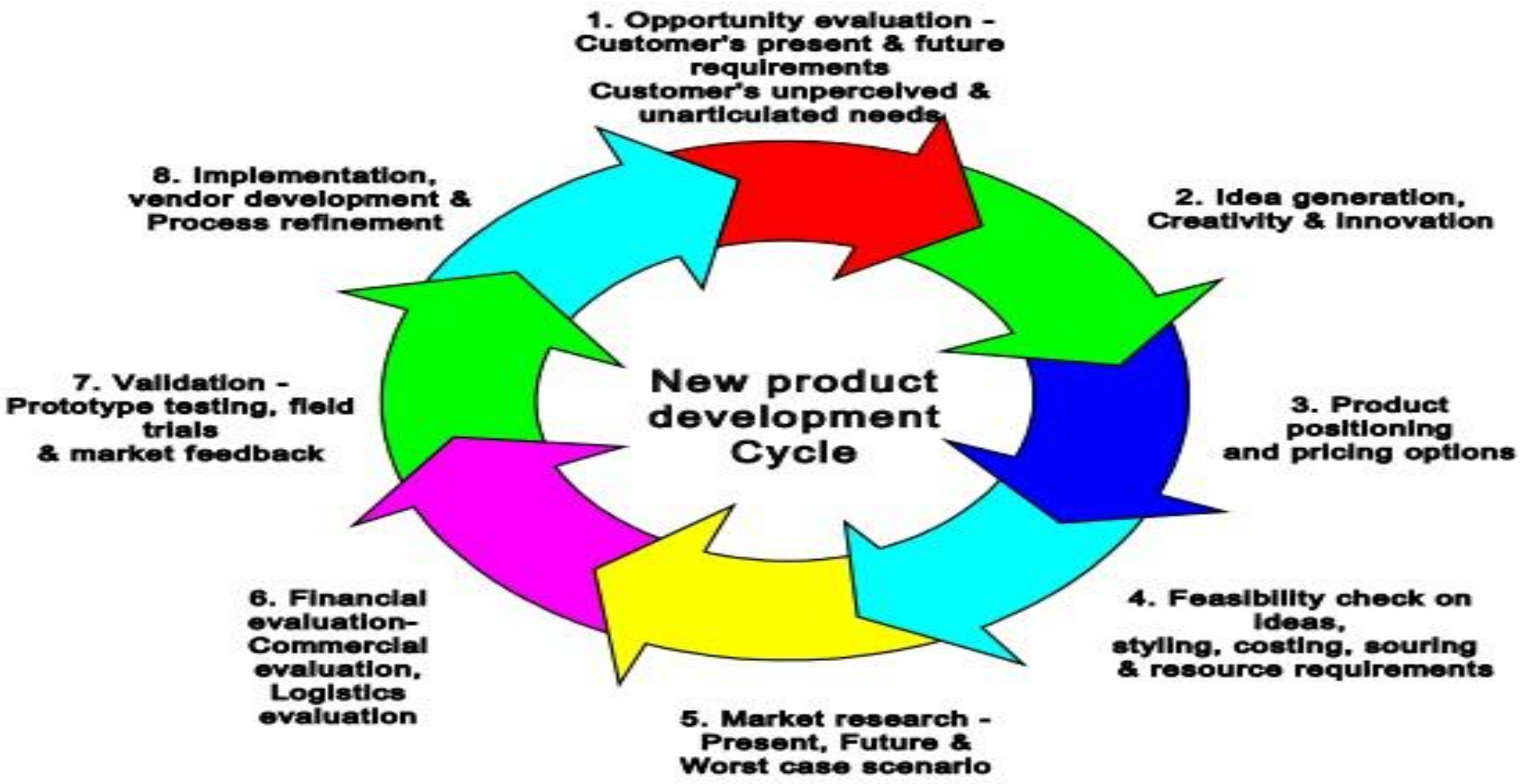
New-to-the-world items

Improve existing products

Ways to Find New-Product Ideas

- Informal customer sessions
- Time off for technical people to putter
- Customer brainstorming
- Survey your customers
- “Fly on the wall” research
- Iterative rounds with customers
- Keyword search to scan trade publications
- Treat trade shows as intelligence missions
- Have employees visit supplier labs
- Set up an idea vault

New Product development process



Product Life cycle

Product Life-Cycle Marketing Strategies

To say that a product has a life cycle asserts four things

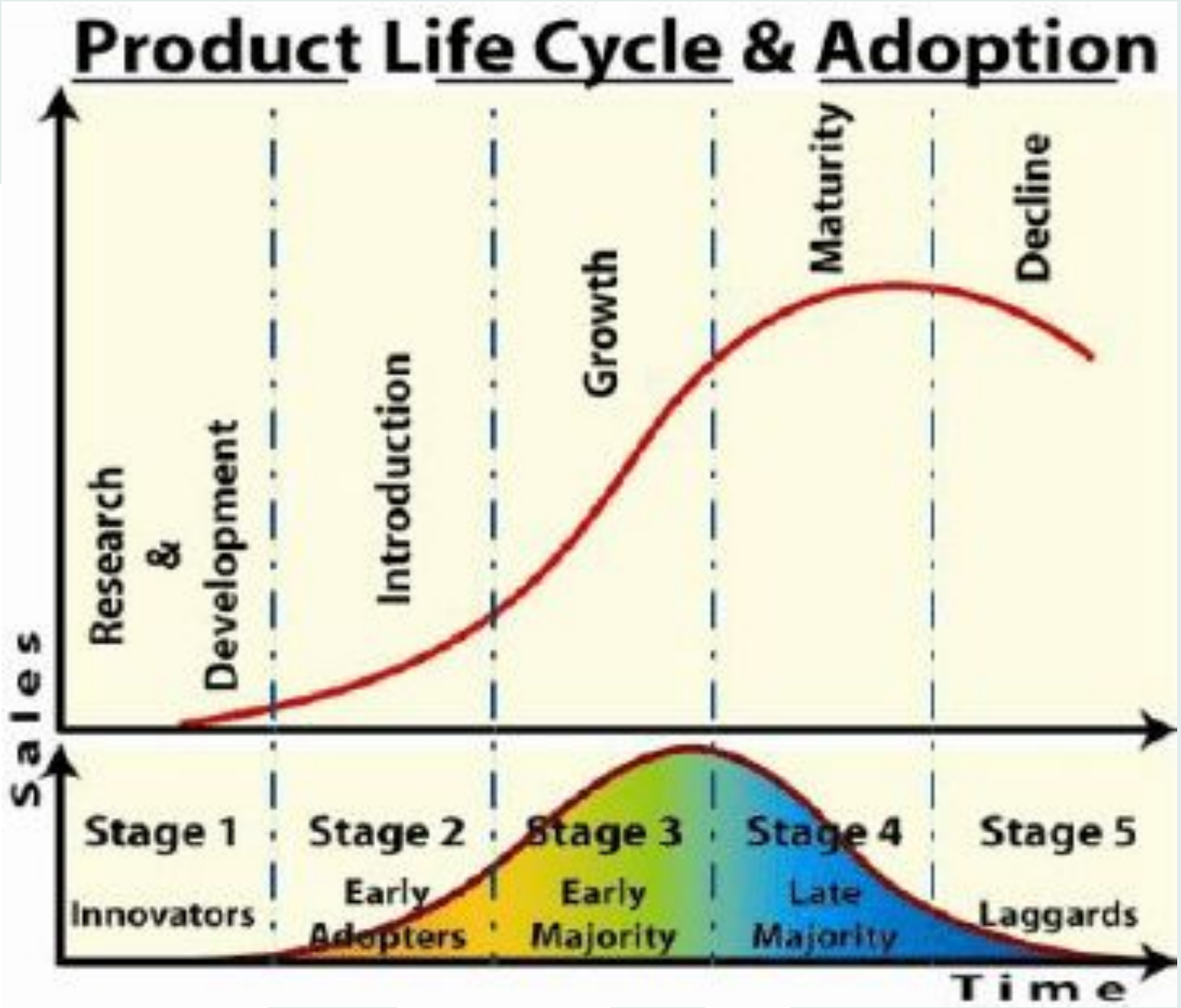
1. Products have a limited life.

2. Product sales pass through distance stages, each posing different challenges, opportunities, and problems to the seller.

3. Profits rise and fall at different stages of the product life cycle.

4. Products require different marketing, financial, manufacturing, purchasing, and human resource strategies in each life-cycle stage.

Stages of Product Life cycle



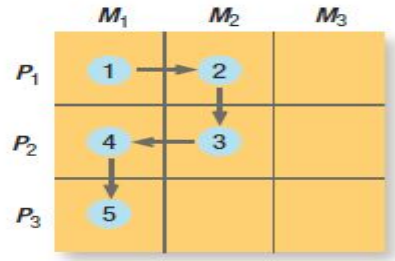
Product Life-Cycle Marketing Strategies

Marketing Strategies: Introduction Stage

The Pioneer Advantage

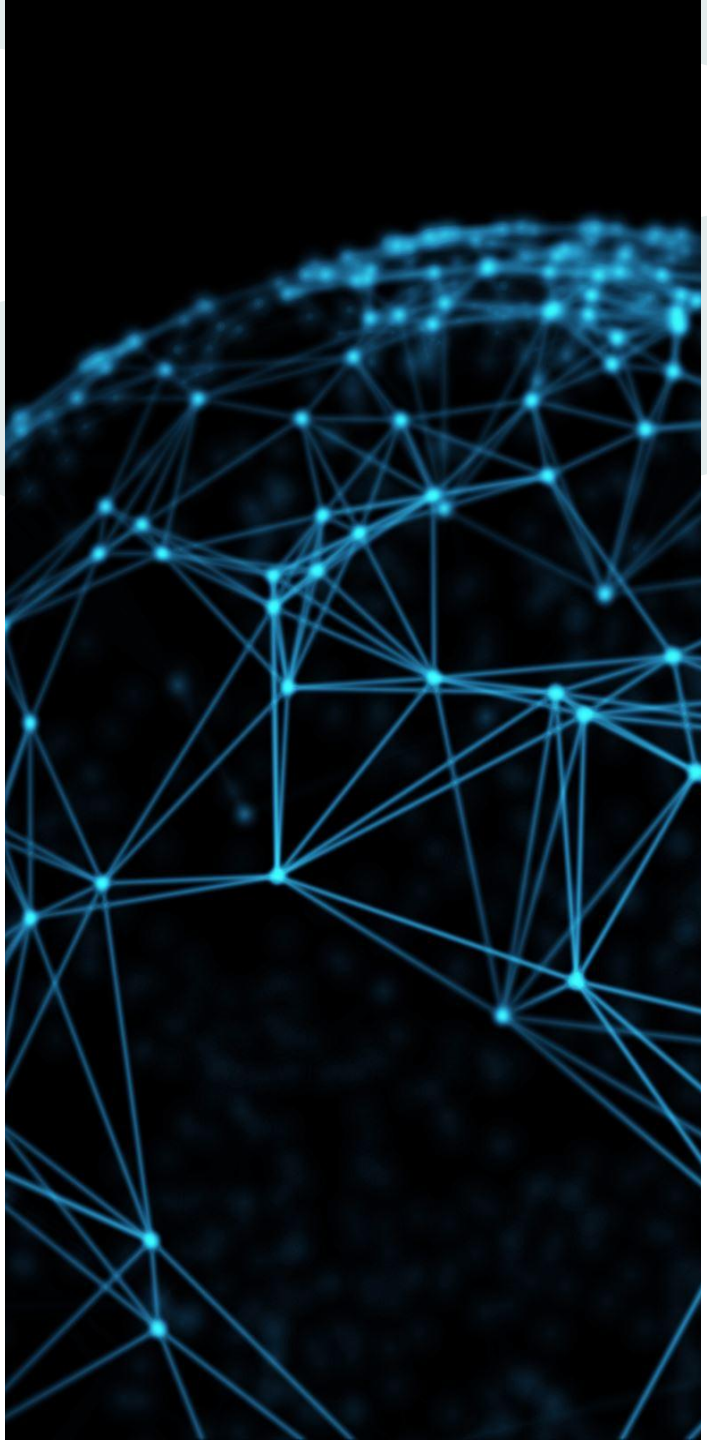
Inventor

Product pioneer



| Fig. 12.8 |

Long-Range Product Market Expansion Strategy (P_i = product i; M_j = market j)



PLC -: Growth Stage

Improve product quality and add new product features and improved styling

Add new models and flanker products

Enter new market segments

Increase distribution coverage and enter new distribution channels

Shift from product-awareness advertising to product-preference advertising

Lower prices to attract next layer of price sensitive buyers

PLC- Maturity Stage

- Market Modification - Expand number of brand users by:
  1. Converting nonusers
  2. Entering new market segments
  3. Winning competitors' customers
- Convince current users to increase usage by:
  1. Using the product on more occasions
  2. Using more of the product on each occasion

- Product modification
  - Quality improvement
  - Feature improvement
- Marketing-Mix Modification
  - Prices
  - Distribution
  - Advertising
  - Sales promotion
  - Personal selling
  - Services

Product Life-Cycle-Decline Stage

1.Increase firm's investment (to dominate the market and strengthen its competitive position)

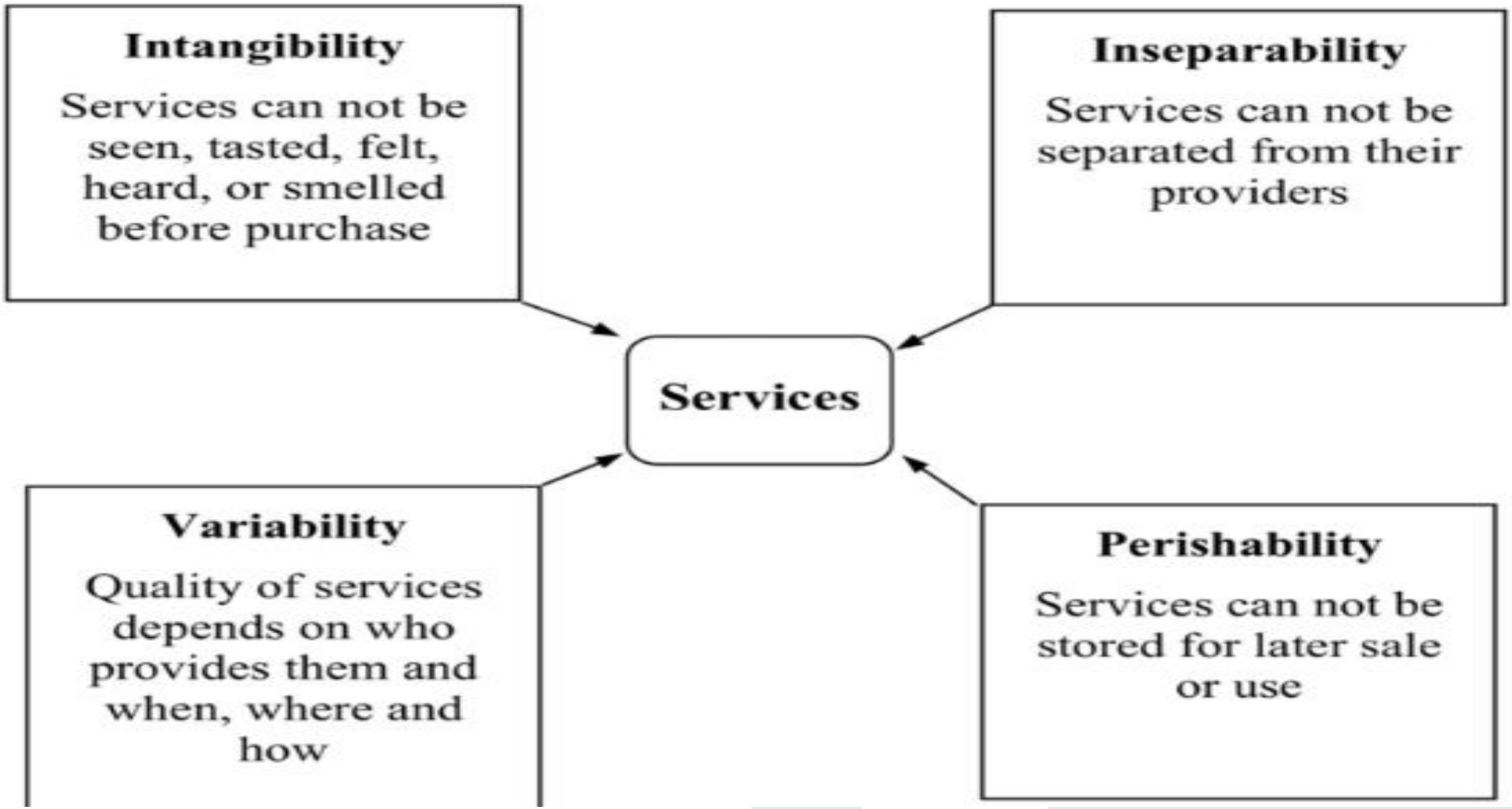
2. Maintain the firm's investment level until the uncertainties about the industry are resolved.

3. Decrease the firm's investment level selectively by dropping unprofitable customer groups, while simultaneously strengthening the firm's investment in lucrative niches

4. Harvesting ("milking") the firm's investment to recover cash quickly

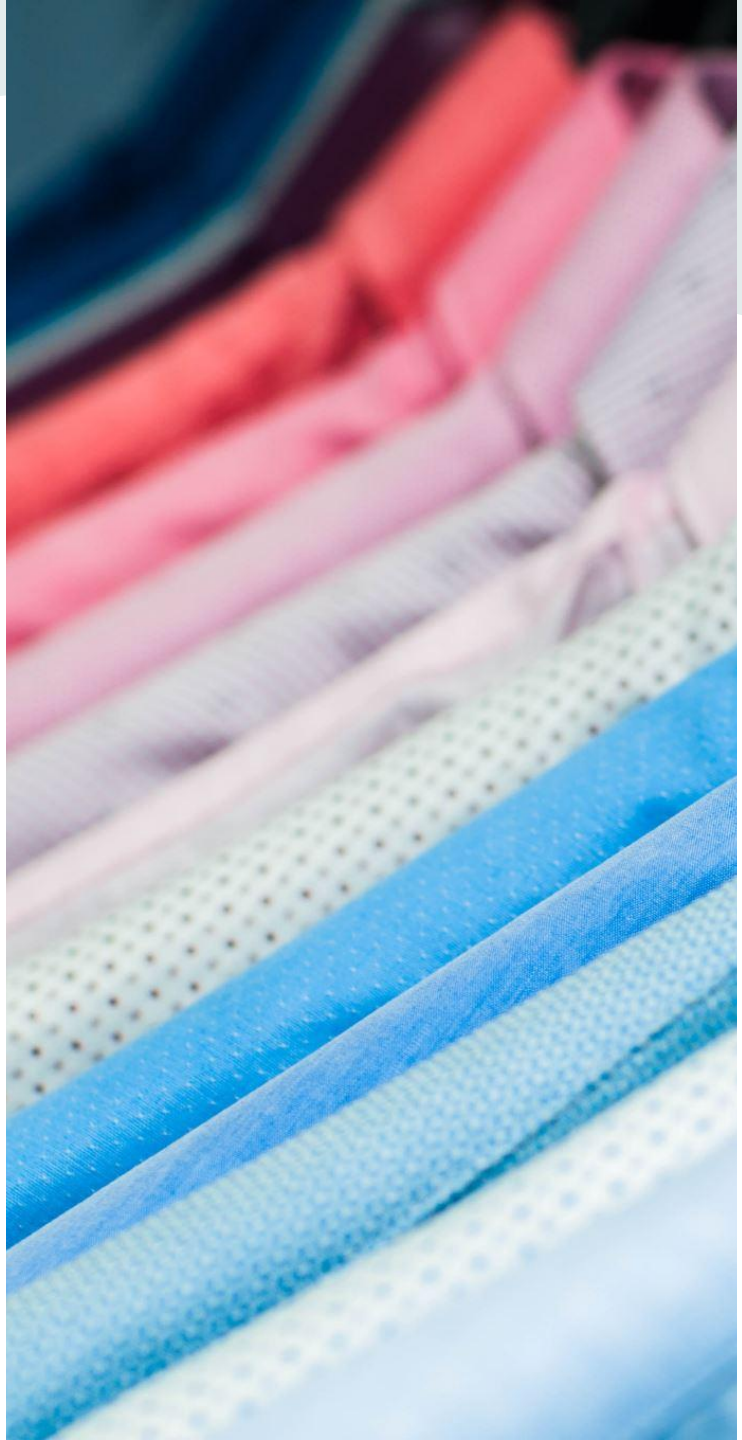
5. Divesting the business quickly by disposing of its assets as advantageously as possible.

Service Characteristics



Service Mix

7 P's
of Service
Marketing Mix
1
Product
(Service
Offering)
2
Price
3
Place
(Distribution)
4
Promotion
5
People
6
Process
7
Physical
Evidence



Brand

A combination of them, intended to identify the goods or services of one seller or group of sellers and to differentiate them from those of competitors."

Brand equity is the added value endowed on products and services. It may be reflected in the way consumers think, feel, and act with respect to the brand, as well as in the prices, market share, and profitability the brand commands

Concepts in Branding

Internal branding consists of activities and processes that help inform and inspire employees about brands.

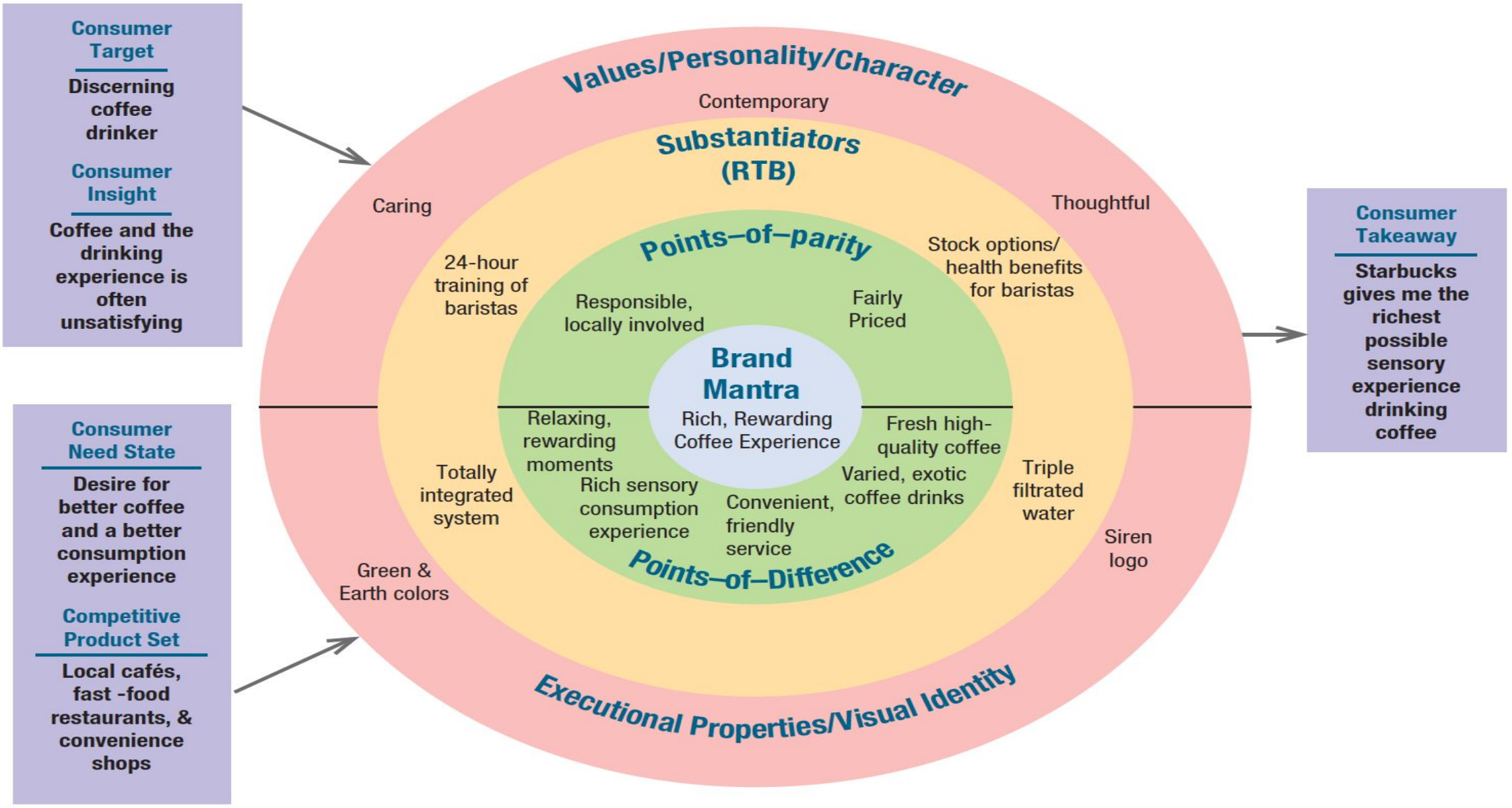
Brand community is a specialized community of consumers and employees whose identification and activities focus around the brand

A brand audit is a consumer-focused series of uncover its sources of brand equity, and suggest ways to improve and leverage its equity

Brand Extensions - Many firms have decided to leverage their most valuable asset by introducing a host of new products under their strongest brand names.

Brand mantra is an articulation of the heart and soul of the brand and is closely related to other branding concepts like "brand essence" and "core brand promise." Brand mantras are short, three-to five-word phrases that capture the irrefutable essence or spirit of the brand positioning.

Branding Positioning



A Hypothetical Example of a Starbucks Brand Positioning Bull's Eye

Branding strategy

The firm has 3 choices while devising a branding strategy:

1. Develop new brand elements for new product
2. Apply some of its existing brand elements
3. Use a combination for existing and new brand elements

a) Line Extension

Nestle Maggi - Line Extension

MAGGI® 2-Minute Noodles

MAGGI® Special Masala Noodles

MAGGI® Nutri-licious® Oats Masala Noodles

Category Extension

Brand Strategy and Methods

Elements of a Brand Strategy

1. Purpose
2. Consistency
3. Emotion
4. Flexibility
5. Employee Involvement
6. Loyalty
7. Competitive Awareness

Branding Methods

1. Attitude Branding
2. Individual Branding
3. Product Branding
4. Co-branding
5. Minimalist Branding
6. Brand Extension Branding

Packaging

All the activities of designing and producing the container for a product

Packaging

Used as a marketing tool

- Self-service
- Consumer affluence
- Company and brand image
- Innovation opportunity

Packaging objectives

- Identify the brand
- Convey descriptive and persuasive information
- Facilitate product transportation and protection
- Assist at-home storage
- Aid product consumption

Functions of Labels

- Identifies
- Grades
- Describes
- Promotes

Labeling : The label can be a simple attached tag or an elaborately designed graphic that is part of the package.

Warranties are formal statements of expected product performance by the manufacturer.

Products under warranty can be returned to the manufacturer or designated repair center for repair, replacement, or refund. Whether expressed or implied, warranties are legally enforceable.

Guarantees reduce the buyer's perceived risk. They suggest that the product is of high quality and the company and its service performance are dependable.

Understanding Pricing

Price is not just a number on a tag. It comes in many forms and performs many functions. Rent, tuition, fares, fees, rates, tolls, retainers, wages, and commissions are all the price you pay for some good or service.

Factors influencing pricing

- Cost
- Objectives
- Demand
- Competition
- Distribution channel
- Government
- Economic condition
- Ethical consideration
- Types of buyers
- Product differentiation

Steps in setting a Price policy

Consider three key topics—

reference prices, price and quality inferences, and price endings.

1. Selecting the Pricing Objective

2. Determining Demand

3. Estimating Costs

4. Analyzing Competitors' Costs, Prices, and Offers

5. Selecting a Pricing Method

6. Selecting the Final Price

Key points about Kotler's pricing strategies:

Value-based pricing: Sets prices based on the perceived value a product or service offers to the customer, not just its production cost.

Cost-plus pricing: Calculates the total cost of production and adds a predetermined markup to arrive at the selling price.

Competitive pricing: Matches prices to those of competitors in the market.

Price skimming: Introduces a product at a high price to capture early adopters and then gradually lowers the price as the market matures.

Penetration pricing: Enters the market with a low price to gain market share quickly.

Premium pricing: Positions a product as high-quality and sets a premium price to reflect its perceived superior value.

Pricing strategies

Market penetration pricing

Some companies believe a higher sales volume will lead to lower unit costs and higher long-run profit, so they set the lowest price, assuming the market is price sensitive.

Texas Instruments famously practiced this market-penetration pricing for years.

Market Skimming pricing

SONY

Companies unveiling a new technology favor setting high prices to maximize market skimming. Sony has been a frequent practitioner of market-skimming pricing, in which prices start high and slowly drop over time.

Product-Quality Leadership /Premium product pricing

A company might aim to be the product-quality leader in the market. Many brands strive to be “affordable luxuries”—products or services characterized by high levels of perceived quality, taste, and status with a price just high enough not to be out of consumers’ reach.

Value-priced pricing

Companies offering the powerful combination of low price and high quality are capturing the hearts and wallets of consumers all over the world.

EDLP

A retailer using everyday low pricing (EDLP) charges a constant low price with little or no price promotion or special sales. Constant prices eliminate week-to-week price uncertainty and the high-low pricing of promotion-oriented competitors. In high-low pricing, the retailer charges higher prices on an everyday basis but runs frequent promotions with prices temporarily lower than the EDLP level.

New-Product Pricing Strategies

Two Broad Strategies

- *Market skimming pricing – set a high initial price*
- *Market penetration pricing – set a low initial price*

Product-Mix Pricing Strategies

The firm looks for a set of prices that maximizes the profits on the total product mix.

Five product mix pricing situations

- Product line pricing – *the products in the product line*
- Optional product pricing – *optional or accessory products*
- Captive product pricing - *complementary products*
- By-product pricing – by-products
- Product bundle pricing – several products

Price Adjustment Strategies

Companies adjust basic prices to account for various customer differences and changing situations.

- Discount and allowance pricing
- Segmented pricing
- Psychological pricing
- Promotional pricing
- Geographical pricing
- Dynamic pricing
- International pricing

promotion mix

According to Philip Kotler, promotion mix is the combination of tools used by a company to communicate with customers and build relationships. It's also known as the marketing communications mix.

Components of promotion mix

- **Advertising**: A method of communicating with customers
- **Public relations**: A method of communicating with customers
- **Personal selling**: A method of communicating with customers
- **Sales promotion**: A method of communicating with customers
- **Direct marketing**: A method of communicating with customers

Promotion Mix
Advertising
Online Marketing
Sales Promotion
Word-of-Mouth
Personal Selling
Direct Marketing
Publicity
Public Relations